# Unit Economics Sheet

Walk through one sale from start to finish, then zoom out to three months. Include your time: it is a real cost, even if nobody is paying you yet.

## 1. One sale

Price the customer pays for one unit.

Every variable cost for that unit: materials, packaging, delivery, payment fees and paid time.

Contribution margin: price minus total variable cost.

## 2. Fixed costs

Costs you pay regardless of sales over the next three months.

Total fixed costs for the period.

## 3. Break-even

Total fixed costs divided by contribution margin per unit.

How many sales per week does that mean? Is that realistic?

## 4. Three-month cash flow

For each month, the cash you expect to come in and when it arrives.

For each month, the cash you expect to go out and when it leaves.

The running balance at the end of each month. Where are the gaps?

## 5. Reflection

What do these numbers tell you about your venture?

Which single change would improve your margin or cash flow the most?